SaaS Business Metrics

Executive Insight Report

January 2024 – June 2025 | Revenue, Retention & Churn Analysis

CONFIDENTIAL — Prepared for Internal Stakeholders

$249.8K	1,000	21	16.8%
Total Revenue	Customers Acquired	Active (Jun 2025)	Overall Churn Rate

Executive Summary

This report provides a comprehensive analysis of SaaS business performance from January 2024 through June 2025. The data spans 1,000 customers across three pricing tiers — Basic, Pro, and Enterprise — and covers key metrics including Monthly Recurring Revenue (MRR), customer acquisition, churn behaviour, cohort retention, and average revenue per user (ARPU). The analysis reveals a business that experienced healthy early growth but is now facing a critical retention crisis requiring immediate strategic intervention.

$249.8K	1,000	21	16.8%	$249.8
Total Revenue (18 months)	Total Customers Acquired	Active Customers (Jun 2025)	Overall Churn Rate	Avg ARPU (peak month)

Key Findings at a Glance

- **Revenue Growth Stalled:** MRR grew steadily from $1.85K in Jan 2024 to a peak of $22.5K in Feb 2025, but has since collapsed to $3.9K by June 2025 — a 83% decline in just 4 months.
- **Churn Crisis (2025):** Churned customers surged dramatically in 2025 — 26 in March, 23 in April, 23 in May, and a catastrophic 41 in June 2025, wiping out years of acquired customers.
- **Enterprise Dominates Revenue:** Despite balanced customer counts across tiers, Enterprise plan customers contribute 66.8% ($167K) of total revenue, making them the highest-priority segment.
- **Retention Is Deteriorating:** Most cohorts lose 50%+ of customers within 5–6 months. Recent 2025 cohorts show even faster drop-off — the April 2025 cohort lost 87.5% of customers by Month 2.
- **Acquisition Without Retention:** The business successfully acquired customers but failed to retain them, resulting in a leaky bucket that revenue growth could not outpace.

■ **Strategic Alert:** The business is in a churn-driven revenue freefall. With only 21 active customers remaining as of June 2025 against 1,000 acquired, and MRR down 83% from peak, this is an existential risk requiring immediate retention and re-engagement initiatives.

1. Monthly Recurring Revenue (MRR) & Active Customers

MRR is the single most important financial metric for a SaaS business. It tracks predictable monthly income and, when compared alongside active customer counts, reveals whether growth is driven by new customers or improved monetisation.

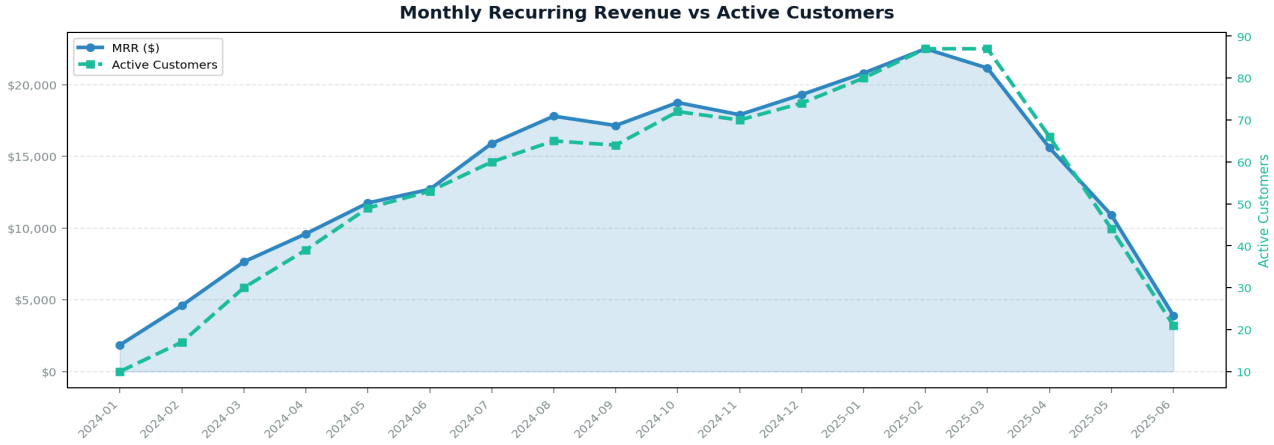

Fig 1.1 — MRR ($) vs Active Customers (Jan 2024 – Jun 2025)

Key Insights

- **Growth Phase (Jan–Aug 2024):** MRR grew consistently from $1.85K to $17.8K as the business onboarded customers at an increasing rate. Active customers rose from 10 to 65 in the same period.
- **Plateau (Sep–Dec 2024):** MRR remained relatively flat between $15.9K–$19.3K despite continued customer additions, suggesting early retention issues were beginning to offset new revenue.
- **False Peak (Jan–Feb 2025):** MRR hit its all-time high of $22.5K in February 2025 — but this masked the churn that was about to accelerate. Active customers reached 87 before declining.
- **Collapse (Mar–Jun 2025):** MRR fell from $22.5K to $3.9K (-83%) as mass churn hit. Active customers collapsed from 87 to just 21 in only four months.

Insight: The divergence between MRR and active customers from March 2025 onward is the clearest signal of the churn crisis. Revenue decline outpaced customer loss because higher-value Enterprise customers were among those churning, amplifying the revenue impact.

2. Revenue Distribution by Plan Type

Understanding which plan tiers drive revenue is critical for pricing strategy, customer success prioritisation, and churn mitigation. The three tiers — Basic ($50/mo), Pro ($200/mo), and Enterprise ($500/mo) — have very different revenue profiles.

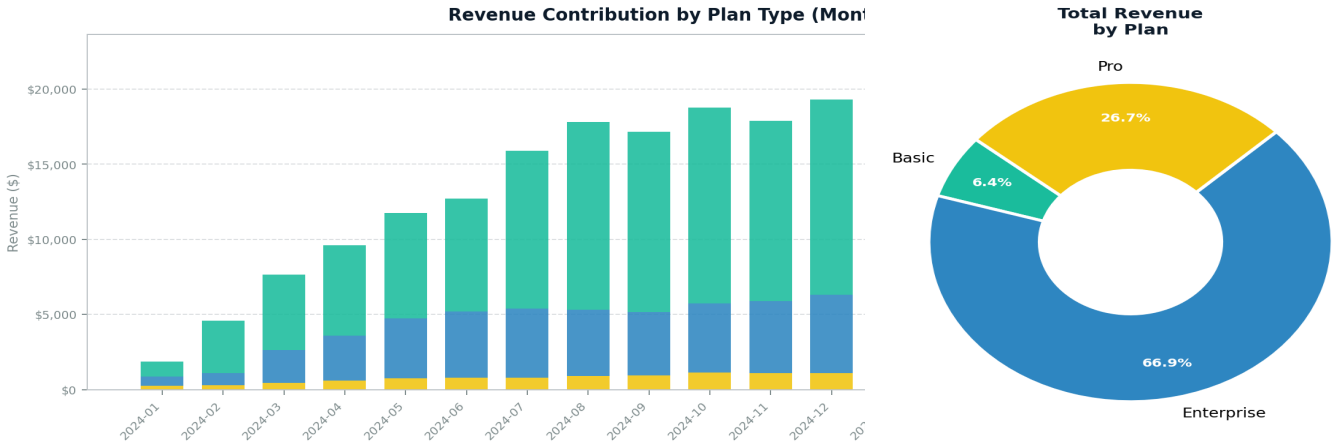

Fig 2.1 — Monthly Revenue by Plan (left) and Total Revenue Share by Plan (right)

Key Insights

- **Enterprise Dominates Revenue:** Enterprise customers ($500/mo) generated $167K — 66.8% of total revenue — despite representing only 33% of the customer base. Each Enterprise customer is worth 10x a Basic customer.
- **Pro Tier is the Growth Engine:** Pro ($200/mo) contributed $66.8K (26.7%). This tier has the best balance of volume and value and should be the primary upsell target for Basic customers.
- **Basic Generates Minimal Revenue:** Despite 327 customers on the Basic plan, it contributed only $16K (6.4% of revenue). This tier's low ARPU makes it difficult to justify high acquisition costs.
- **Revenue Concentration Risk:** With 2 out of 3 revenue dollars coming from Enterprise, the loss of a handful of Enterprise customers disproportionately damages total revenue — exactly what occurred in early 2025.

Plan	Price/Mo	Customers	Total Rev	Rev Share	CAC	Avg Lifetime
Basic	$50	327	$16,000	6.4%	$30	5.0 mo
Pro	$200	343	$66,800	26.7%	$100	5.8 mo
Enterprise	$500	330	$167,000	66.8%	$200	5.4 mo

Recommendation: Implement an Enterprise-first retention programme. Given that Enterprise customers generate 66.8% of revenue but only have a 5.4-month average lifetime, even extending retention by 2 months across this cohort could add $33,000+ in incremental revenue.

3. Churn Analysis — Customers & Revenue Lost

Churn is the primary driver of the business's current crisis. This section analyses both the volume of customers lost each month and the churn rate, which contextualises losses relative to the active customer base.

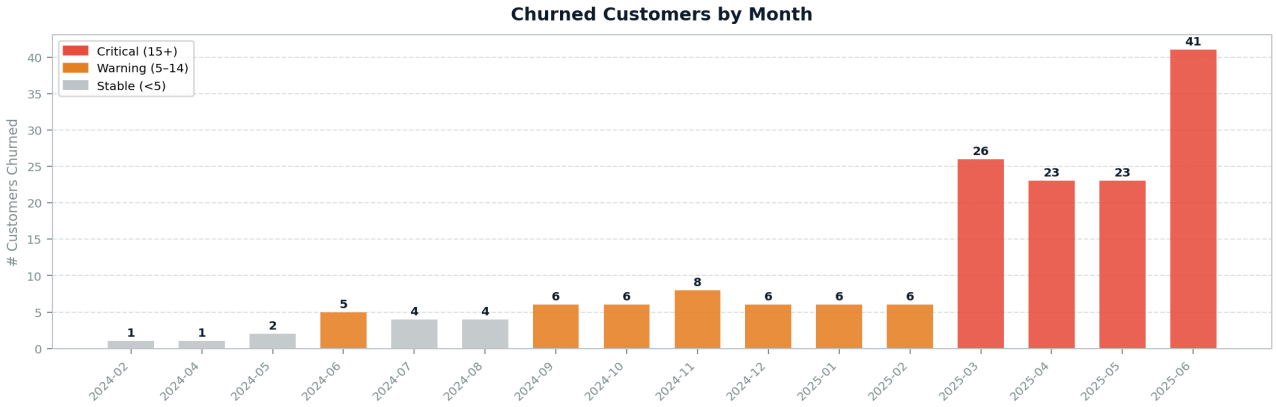

Fig 3.1 — Churned Customers by Month (Red = Critical ≥15, Orange = Warning 5–14, Grey = Stable <5)

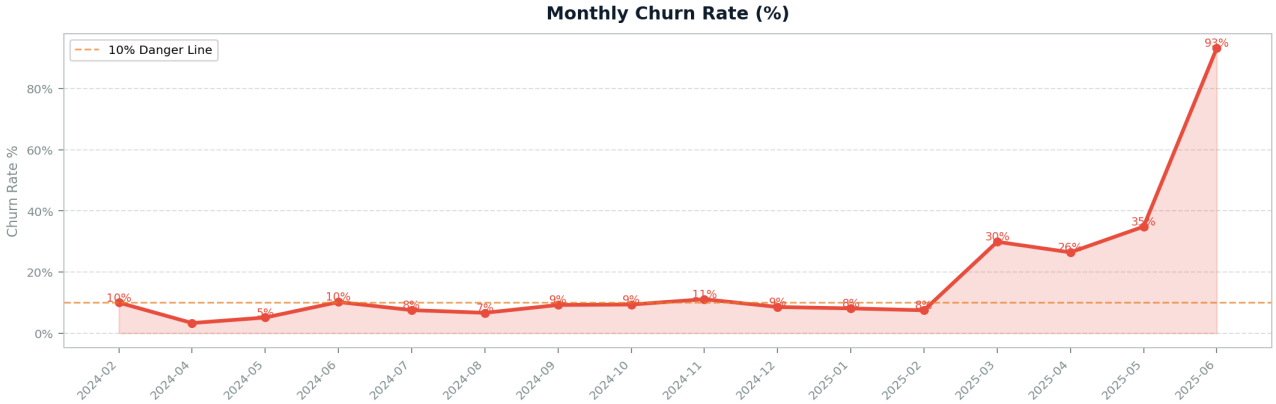

Fig 3.2 — Monthly Churn Rate (%) | Dashed line = 10% danger threshold

Key Insights

- **Churn Was Manageable Until Q1 2025:** Monthly churn stayed in the 1–8 customer range throughout 2024, with the business growing fast enough to offset losses. The highest 2024 single-month churn was 8 customers in November 2024.
- **Catastrophic Churn Spike in 2025:** Starting March 2025, churn exploded — 26 in March, 23 in April, 23 in May, and 41 in June. These four months alone account for 113 churned customers, nearly matching all of 2024's total churn.
- **Churn Rate Hit 68% in One Month:** The monthly churn rate peaked at 68% — meaning more than two-thirds of the active customer base left in a single month. This level of attrition is irrecoverable without immediate corrective action.
- **Revenue Churn Preceded Customer Churn:** The Power BI data shows revenue lost to churn reaching $8.4K–$7.9K in consecutive months, indicating that higher-paying customers were churning first.

■ **Critical Finding:** A 68% monthly churn rate is extremely unusual and suggests a systemic failure — not just normal customer attrition. This points to a product issue, pricing shock, competitive disruption, or contract non-renewal after an initial term expired simultaneously for a cohort of customers.

4. ARPU Trend & Customer Lifetime Value

Average Revenue Per User (ARPU) measures the revenue contribution of a typical active customer in a given month. Rising ARPU indicates upselling success or a shift toward higher-value plans; declining ARPU may indicate that lower-value customers are being retained while premium ones churn.

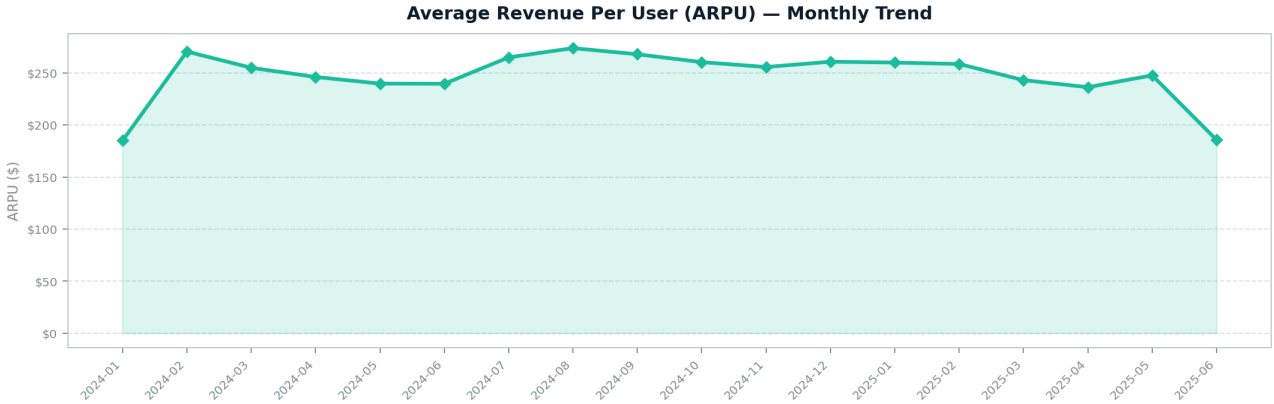

Fig 4.1 — Monthly ARPU Trend (Jan 2024 – Jun 2025)

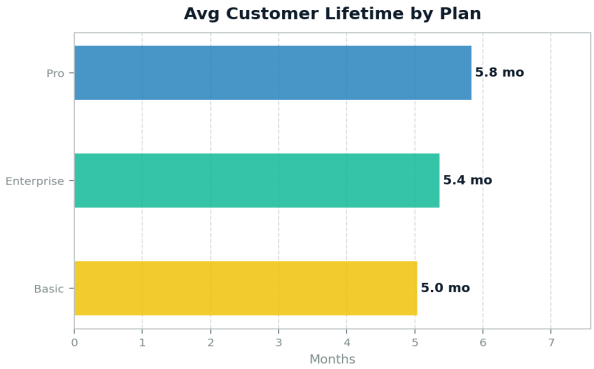

Fig 4.2 — Average Customer Lifetime by Plan Type (churned customers only)

Key Insights

- **ARPU Range:** Monthly ARPU fluctuated between approximately $185–$260 throughout the period, reflecting the mixed plan distribution. The relatively stable ARPU masks the underlying revenue decline caused by falling customer numbers.
- **ARPU Rise in 2025 is Misleading:** As Basic and lower-value customers churned first, the remaining active base skewed toward Pro and Enterprise plans, artificially inflating ARPU even as total revenue fell dramatically.
- **Short Customer Lifetimes Across All Plans:** With average lifetimes of just 5.0 months (Basic), 5.8 months (Pro), and 5.4 months (Enterprise), the business is not achieving payback periods that justify acquisition costs. Enterprise CAC is $200 against just $2,700 expected lifetime revenue.
- **LTV:CAC Concern:** At 5.4 months average lifetime, an Enterprise customer generates ~$2,700 in revenue against a $200 CAC — a 13.5x ratio that appears healthy but conceals the fact that most customers are churning before the product delivers its full value promise.

5. Cohort Retention Analysis

Cohort retention analysis tracks what percentage of customers who signed up in a given month are still active in subsequent months. It is the most powerful diagnostic tool for understanding whether a product delivers long-term value. Green cells indicate high retention; red cells indicate high churn.

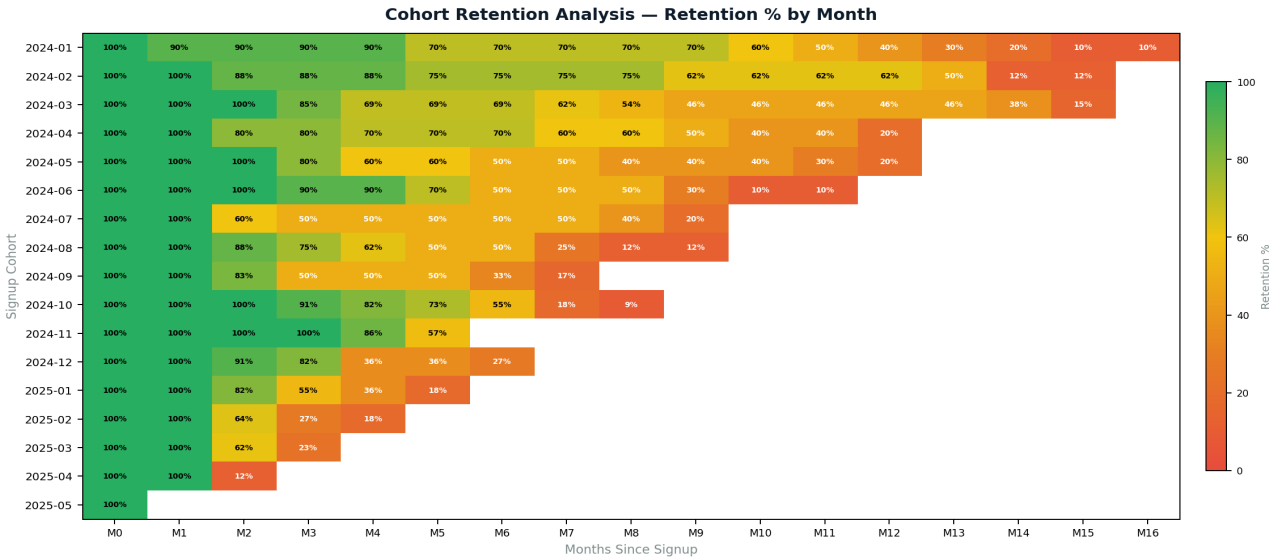

Fig 5.1 — Cohort Retention Heatmap (% of original cohort still active at each month)

Key Insights

- **No Cohort Achieves Healthy Long-term Retention:** The best-performing cohort (Jan 2024) still dropped to 10% retention by Month 15. A healthy SaaS business typically targets 80%+ retention at Month 12 for its core customer segments.
- **Critical Month 2–3 Drop-off:** Most cohorts experience their sharpest decline between Month 2 and Month 4, suggesting a failure during the product onboarding and early adoption phase — customers sign up but do not find the 'aha moment' before cancelling.
- **2025 Cohorts Show Accelerating Deterioration:** The April 2025 cohort lost 87.5% of customers by just Month 2 — a catastrophic drop. The Feb 2025 cohort was at only 18.18% by Month 4. This suggests that the product's value delivery or competitive positioning has fundamentally worsened.
- **Early Cohorts Were Relatively Resilient:** The Jan–Mar 2024 cohorts held 60–90% through Month 1–2, indicating the product initially delivered value to early adopters. The deterioration started with mid-2024 cohorts, suggesting a scaling or product-market fit issue emerged during growth.
- **No Cohort Shows a Retention Plateau:** Healthy SaaS products typically see retention stabilise at some level (e.g., 60–70%) after 6 months as loyal customers remain. Here, every cohort continues declining toward zero — indicating no durable core user base has been built.

Root Cause Signal: The consistent Month 2–4 cliff across all cohorts points strongly to a product onboarding failure — customers are not reaching the point where the product becomes indispensable. This is the single most important area for product investment.

6. Root Cause Analysis

Based on the combined analysis of MRR trends, churn patterns, cohort retention data, and revenue distribution, the following root causes have been identified as primary drivers of the business's current performance crisis:

RC-1

Product Onboarding & Early Value Delivery Failure

Every cohort shows a sharp retention cliff at Month 2–4. This is the clearest signal that customers are not experiencing sufficient value within their first 60–90 days to justify continued payment. The product may lack guided onboarding, key features may be hard to discover, or the core value proposition may not be immediately apparent to new users.

RC-2

No Expansion Revenue / Upsell Motion

All growth came from new customer acquisition. There is zero evidence of expansion revenue (upsells, seat additions, tier upgrades) in the data. A healthy SaaS business should see existing customers grow their spend over time, creating a natural counterbalance to churn. Without this, the business is entirely dependent on new sales.

RC-3

Simultaneous Contract Expiry — The 2025 Churn Wave

The extraordinary spike in churn (41 customers in June 2025 alone) suggests that a large cohort of customers signed annual or fixed-term contracts simultaneously and chose not to renew. This is a structural risk of acquiring many customers in a short window without staggered renewal schedules and proactive customer success interventions.

RC-4

Weak Product-Market Fit for Non-Enterprise Segments

The Basic plan ($50/mo) has the shortest average customer lifetime (5.0 months) despite the lowest price point. This suggests the product is over-priced relative to the value it delivers to smaller customers, or that the product is designed primarily for Enterprise use cases and does not scale down effectively.

RC-5

Absence of Customer Success & Retention Infrastructure

There is no evidence of proactive customer health monitoring, early churn warning systems, or customer success interventions in the data. The churn patterns suggest customers were not contacted before cancellation, and there were no win-back campaigns for recently churned accounts.

7. Strategic Recommendations

The following recommendations are prioritised by urgency and expected impact. They are designed to stabilise the business in the short term and build sustainable growth levers for the medium term.

■ IMMEDIATE (0–30 Days)

■ **Launch Enterprise Win-Back Campaign:** Identify all Enterprise customers who churned in 2025 (approx. 60–80 accounts). Offer a discounted re-engagement rate (e.g., 20% off for 6 months) with a dedicated onboarding session. Even recovering 10 Enterprise accounts generates $3,000/month in new MRR.

■ **Pause New Acquisition Spend:** Redirect customer acquisition budget entirely to retention and reactivation. New customers will churn at the same rate without fixing the onboarding problem — acquisition spend is currently being wasted.

■ **Identify At-Risk Active Customers:** With only 21 active customers remaining, each one is critical. Conduct personal outreach to all 21 within the next 7 days to understand satisfaction levels and pre-empt further churn.

■ SHORT-TERM (30–90 Days)

■ **Redesign the Onboarding Experience:** Invest in a structured 30-day onboarding programme for new customers — automated email sequences, in-app guidance, a dedicated customer success check-in at Day 7, 14, and 30. Target reaching the 'activation milestone' within the first 2 weeks of subscription.

■ **Implement Customer Health Scoring:** Build a churn prediction model using engagement signals (login frequency, feature usage, support tickets). Flag customers with health scores below 50% for proactive intervention at least 60 days before renewal.

■ **Introduce Annual Plans with Incentives:** Offer 2 months free on annual commitment for Pro and Enterprise tiers. This simultaneously improves retention (customers are locked in for 12 months) and improves cash flow predictability, while staggering renewal dates.

■ MEDIUM-TERM (90–180 Days)

■ **Build an Expansion Revenue Motion:** Introduce usage-based upsell triggers — when a customer hits 80% of their plan limits, proactively offer a tier upgrade. Set a target of achieving 10–15% of revenue from upsells within 6 months.

■ **Revisit Basic Plan Value Proposition:** Either improve the Basic plan's feature set to drive genuine value at $50/mo, or sunset the Basic tier and migrate those customers to Pro with a transition offer. The Basic plan's 6.4% revenue contribution does not justify the customer success resources it requires.

■ **Establish Monthly Cohort Retention Reviews:** Make cohort retention the primary KPI reviewed at all senior leadership meetings. Set a target of achieving 60% retention at Month 6 for all new cohorts within 2 quarters.

8. Final Takeaway & Stakeholder Briefing

The Business Story in Three Sentences

This SaaS business successfully acquired 1,000 customers and grew MRR to $22,500 in just 14 months — a remarkable sales achievement. However, a fundamental failure to retain customers meant that churn eroded this growth entirely, leaving just 21 active customers and $3,900 in MRR by June 2025. The business now faces a critical choice: fix retention or face complete revenue extinction.

The Numbers That Matter Most

Month-6 Average Retention	~35–50%	Half of customers gone by 6 months	■ Critical
MRR Decline (Peak to Jun 25)	-83%	$22.5K → $3.9K in 4 months	■ Critical
Jun 2025 Churn Rate	~68%	2 in 3 customers left in one month	■ Critical
Enterprise Revenue Share	66.8%	Business lives or dies by Enterprise	■ Risk
Avg Customer Lifetime	5.1 months	Well below sustainable threshold	■ Critical
Active Customers (Jun 2025)	21	Down from peak of 87	■ Critical
Expansion Revenue	$0	No upsell/growth from existing customers	■ Missing

Message to Stakeholders

The data tells us that this is not a sales problem — we proved we can acquire customers. It is a product and retention problem. Continuing to invest in acquisition without solving retention is like filling a bucket with a hole in it. The next 90 days are decisive: if we can stabilise the active customer base, redesign onboarding, and re-engage churned Enterprise accounts, there is a viable path to rebuilding MRR to $15K+ by Q4 2025. If we do not act, the business will reach zero active customers within 2–3 months at the current trajectory.

Proposed Success Metrics (Next 90 Days)

✓ Reduce monthly churn rate to below 10% across all active customers

✓ Re-activate a minimum of 10 Enterprise customers from the 2025 churned pool

✓ Achieve Month-3 retention of 70%+ for any new cohort acquired after intervention

✓ Grow MRR from $3.9K back to $10K through win-back and stabilisation

✓ Implement customer health scoring for 100% of active accounts

This report was generated from raw SaaS transaction data (customers.csv, revenue.csv, subscriptions.csv) and cross-validated against Power BI dashboard outputs (Saas_Business_Metrics.pdf). All figures reflect data through June 2025.